

##CRISCa- Governance and Risk Management Concepts

###Objectives:

At the end of this episode, I will be able to understand:

1. The Three Lines of Defense are implemented by many organizations
2. Identifies business functions between risk owner and risk practitioner – Specifies roles
 - First Line – Operational Management
 - Second Line – Risk and Compliance Functions
 - Third Line - Audit
3. First Line - Operational Management
 - Implemented by the business unit
 - Ensures the conducive control environment
 - Expected to be fully aware of risk factors
 - Able to execute effective internal control in their business units
 - First Line – Operational Managers are responsible for managing risk
4. Second Line - Risk and Compliance functions
 - Comprised of Risk Management and Compliance Functions
 - Focused to ensure that first-line defenses are properly designed
 - This is where enterprise buy-in occurs
5. Third Line - Audit
 - Gaining the appropriate level of assurances to senior management
 - Needs independent and objective reviews
 - Reviews and evaluates the design and implementation of risk management
6. Risk Practitioner works across the first two lines of defense within an organization
7. Auditors work in the third-line of defense. However, the auditor will give information TO the risk practitioner to help with delivering information to senior management and the board

Additional resources used during the episode can be obtained using the download link on the overview episode.

External Resources:

During this episode, you can reference the following external resources for supplementary tools and information:

<http://www.isaca.org>